

Executive Briefing

What the Tefoma Procurement system is, what it controls, what has been delivered and what remains.

Audience	CEO, investors, senior management
Version	1.0
Date	4 September 2026
Live system	https://tefomaprocurement.vercel.app
Basis	The system as built on the main branch

This document explains what the system is, the business problem it solves, how a purchase moves through it, the controls it enforces, what has been built and tested, and what remains. Every statement is drawn from the current codebase, not from a plan.

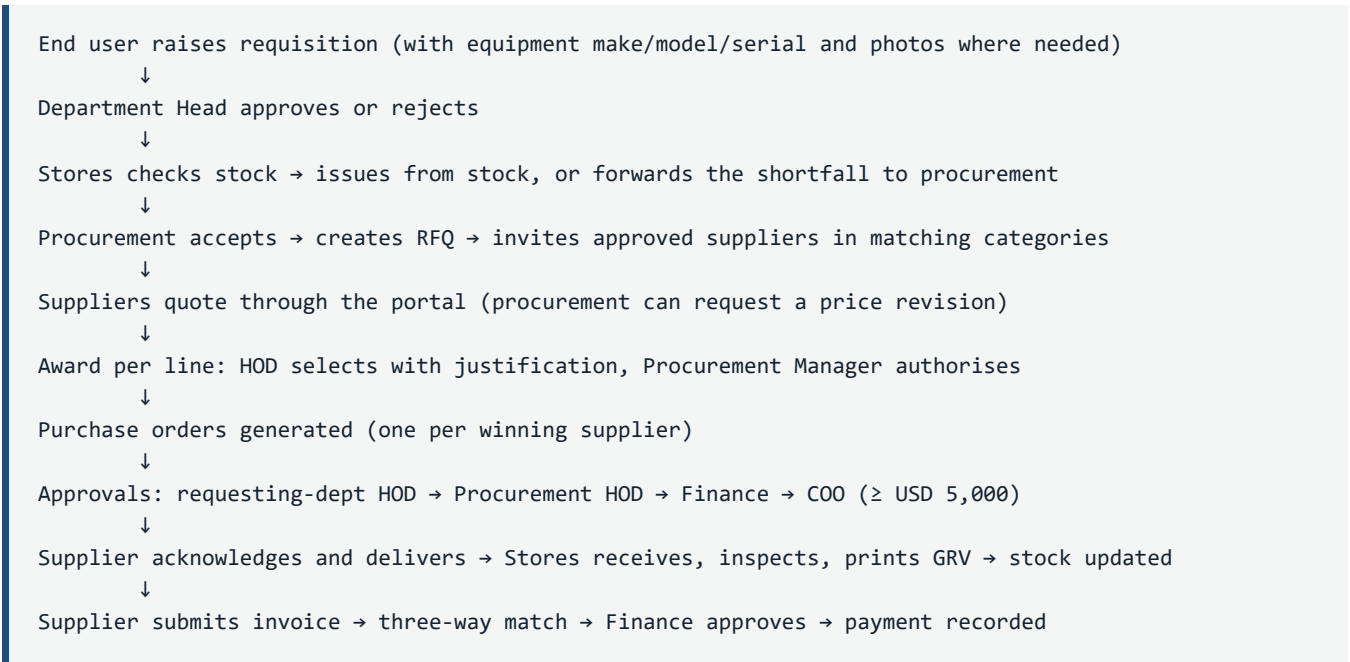
1. In one paragraph

Tefoma Procurement is a web-based procure-to-pay and stores platform. It takes a purchase from the moment a site or department needs something, through stock checking, competitive quotation, layered approval, delivery into stores, and finally supplier invoice and payment, in one system with a full audit trail. It replaces paper requisitions, emailed quotes and spreadsheet tracking. Eight roles use it, including external suppliers through their own portal. It encodes Tefoma's own Central Procurement Procedure (Rev 9) as enforced rules rather than guidance.

2. The problem it solves

Before	With the system
Paper requisitions walk between offices; status is unknown	Every request has a number, a status and an owner, visible in real time
Stores is bypassed and items already in stock get bought again	Every approved request is checked against stock before procurement sees it
Quotes arrive by email and can be altered or lost	Suppliers submit quotes into the system; each version is locked and timestamped
Approval authority depends on who signs a paper	Approval chain is enforced in code: HOD, Procurement HOD, Finance, then COO above USD 5,000
Invoices paid without checking what was ordered or received	Three-way match of order, goods received voucher and invoice before Finance can approve
Unvetted suppliers can trade with the company	Suppliers stay "pending" until a 19-item Know Your Supplier checklist is verified
Audit means reconstructing history from files	Every create, approve, reject, upload and login is logged with user, time and IP address

3. How a purchase moves through the system



Requests fully satisfied from stock stop at the stores step. Lines that receive no quotes are tracked and re-sourced in a new RFQ rather than silently lost.

4. Who uses it

Role	What they do in the system
End User	Raises purchase requisitions for their department; sees only their own
Department Head	Approves requisitions and purchase orders for the department; selects winning quotes with justification
Stores Officer	Reviews requisitions against stock, receives deliveries, prints GRVs, manages inventory and inter-site transfers
Procurement Officer	Suppliers and KYS, RFQs, quotations, awards, purchase orders, evaluations
Procurement Head	A Department Head of the Procurement department; additionally authorises quotations and approves POs as the second HOD step
Finance Manager	Department budgets, financial PO approval, invoices, payments
Chief Operating Officer	Final approval for orders at or above USD 5,000; oversight reports
Supplier (external)	Own profile and compliance documents, RFQ invitations, quotations, orders, deliveries, invoices
System Administrator	Users, departments, sites, audit logs, full oversight

Every login requires email, password and a one-time code sent to the user's inbox.

5. Modules

5.1 Purchase requisitions

Line items from the stock catalogue or free text, priority, delivery site, and optional equipment identity (make, model, serial, data-plate photo) so plant spares can be quoted accurately. Department Head approval, cancellation with coded reasons and downstream clean-up of any RFQ or PO.

5.2 Stores gate

Approved requisitions land in a stores queue. Stores issues what is on hand, checks other sites for transferable stock, and forwards only the shortfall to procurement. This mirrors the paper "quantity delivered" column and is the main defence against re-buying stock.

5.3 Sourcing and quotations

RFQs are built from requisitions. The system suggests approved suppliers whose categories match the lines. Suppliers quote per line through the portal. Procurement can request a price revision; the old quote is kept as a superseded record and the supplier confirms the new price. A minimum of three quotes is enforced per line, with a documented waiver (PRAZ reason categories) where fewer are available.

5.4 Award and purchase orders

Awards are made per RFQ line, so one RFQ can produce one purchase order per winning supplier. Two signatures are required on every award: HOD selection with written justification, and Procurement Manager authorisation. Lines without quotes are shown as unresolved and can be re-sourced in one click.

5.5 Approval chain

Purchase orders move in strict order: requesting-department HOD, Procurement HOD, Finance, and COO when the total is USD 5,000 or more. No stage can be skipped. Each approver has their own queue.

5.6 Supplier management and KYS

Suppliers are created as pending. A 19-item Know Your Supplier checklist (company registration, tax clearance, NSSA, NEC, ISO, client referrals, financials, bank references, insurance, safety and environmental policies, and more) must be verified before activation. Uploaded documents tick the matching checklist item automatically. Lifecycle actions: activate, suspend, mark dormant, reactivate, blacklist, each with a reason and audit entry. Suppliers pick from a controlled taxonomy of 24 sections and about 159 categories.

5.7 Supplier evaluation

Seven-criterion scoring (credit terms, contracts, reputation, pricing, delivery, ease of dealing, quality), overall score, recommendation, and a next-review date. Performance and compliance analytics rank the supplier base.

5.8 Stores and inventory

Multi-site inventory with bin locations, reorder levels, opening-balance imports from the legacy stock code list, stock movements history, internal store requisitions, and inter-site stock transfers with ship and receive steps. Deliveries are received against purchase orders with accept, partial and reject outcomes, and a printable Goods Received Voucher PDF.

5.9 Accounts payable

Suppliers submit invoices against a purchase order only. The system compares ordered, received (from stores GRVs, net of rejections) and invoiced quantities and values with a tolerance of 2% or USD 1, and explains any variance line by line. Finance approves or rejects, then records payments; invoices move from submitted to approved, partially paid and paid.

5.10 Budgets

Finance allocates a budget per department per financial year. The system shows committed spend from open purchase orders, utilised spend from payments, and the available balance.

5.11 Reporting, alerts and audit

Role-specific dashboards, spend and supplier reports with export, in-app and email notifications for every hand-off, scheduled alerts for low stock and approaching RFQ deadlines, and an audit log searchable by user, entity and action.

6. Controls the system enforces

- No supplier can quote until KYS is verified and the supplier is active.
- No purchase without an approved requisition; no requisition reaches procurement without a stores check.
- Three quotes per line or a documented, approved waiver.
- Two signatures on every award: HOD justification plus Procurement Manager authorisation.
- Ordered approval chain with a hard COO threshold at USD 5,000.
- No goods received without an approved purchase order; only Stores can receive.
- No invoice without a purchase order; no Finance approval without a stores GRV and a passing three-way match.
- Quotations are immutable once submitted; revisions create a new version.
- Records are never hard-deleted; cancellations carry coded reasons and roll downstream.
- Every action is audit-logged with user, timestamp and IP address.

7. Alignment with the Central Procurement Procedure (Rev 9)

A clause-by-clause matrix is kept in PROCEDURE_COMPLIANCE.md. Summary:

Area	Status
Stores check before requisition	Implemented
Three quotations, HOD justification, waiver	Implemented
PM authorisation of quotation	Implemented
COO approval above USD 5,000; ordered approval chain	Implemented
KYS documents, evaluation criteria, approved supplier list, blacklisting	Implemented
Supplier evaluation with committee approval	Implemented
PO / delivery note / invoice three-way match	Implemented
No payment without PO	Enforced
Requisition and PO cancellation rules	Implemented
Budget blocking of over-budget requests	Not yet (budgets are tracked, not yet enforced at submission)
Timing SLAs (2-day sourcing, 1-hour approvals, payment days)	Not tracked
Emailing the PO PDF to the supplier	Partial (in-app notification only)
Supplier site visits, MSDS for hazardous goods, receiving attendance (MT, Security, SHEQ), 5-day return tracking	Not built

8. Technology and hosting

Layer	Choice
Front end	React 18, Vite, Tailwind CSS; responsive, works on phones for approvals
API	Node.js, Express 4, TypeScript (strict), layered routes → controllers → services → models
Database	MongoDB via Mongoose
Shared package	One typed package of roles, statuses, thresholds and categories used by both API and client so they cannot drift
Authentication	JSON Web Tokens plus emailed one-time codes; bcrypt password hashing; self-service password reset
Email	Resend
Documents	GRV PDF generation; compliance documents and line photos stored with size limits
Hosting	Vercel for both API (serverless) and client; MongoDB hosted separately
Scheduled jobs	Low-stock and RFQ-deadline alerts, configurable interval and de-duplication

Currencies supported: USD (default), ZWG, ZAR.

Size of the system today:

Measure	Value
Data models	22
API domains / endpoints	11 / about 155
Screens	40+
TypeScript source	about 50,000 lines
Commits on main	124, January to August 2026

9. Delivery status and evidence

- **Live** at the address above; staff and supplier logins are separate.
- **Automated tests** (last run 3 July 2026): 103 of 103 role and permission checks passed; 49 of 49 end-to-end business-flow steps passed, covering supplier onboarding through payment. Client production build passes.
- **Legacy data**: the existing stock code list has been imported with bin locations; scripts exist for cleaning and importing other ERP data.
- **Documentation**: business overview, tester step-by-step guides, end-to-end handover test packs (PDF), compliance matrix, and a development handover report are in the repository.

Development history in brief: core requisition-to-PO flow and supplier portal (January to May 2026); TypeScript migration, accounts payable, KYS, approval chain, evaluations, stores gate, three-quote rule (June 2026); one-time-code login, cancellations, alerts, pagination, reporting, admin command centre (June to July 2026); price negotiation, per-line split awards with multi-PO generation and re-sourcing, two-step HOD approval, PRAZ waiver categories, equipment details and photos, GRV printing, stock code import (July 2026); GRV-gated invoice approval (August 2026).

10. What remains

Priority order recommended for the next phase:

1. **Budget enforcement at requisition submission.** Budgets are tracked; the next step is committing funds when a request is raised and blocking or flagging over-budget requests. This is the largest remaining spend control.
2. **SLA tracking.** Record and flag overdue sourcing, approvals and payments against the procedure's timelines.
3. **Emailing the official PO PDF to suppliers.**
4. **Receiving completeness.** Department representative quality sign-off, MSDS capture for hazardous goods, receiving attendance, and non-conforming return tracking.
5. **Supplier site-visit records** and a quarterly review meeting record.

6. **Integrations.** Accounting ledger export, and WhatsApp notifications for suppliers, as demand justifies.

None of these require a platform rebuild; all are additive to the existing architecture.

11. Why it matters commercially

- **Spend control.** Every dollar leaving the company passes an approved requisition, a competitive quote, a layered approval, a receipt check and a matched invoice. Leakage points (duplicate buying, unmatched invoices, single-source purchases) are closed by design.
 - **Governance and audit readiness.** The procurement procedure is enforced by software, and the evidence for every decision (why this supplier, who approved, what arrived) is one click away. This supports external audit, board reporting and tender compliance.
 - **Supplier base quality.** Only vetted suppliers trade; performance is scored and reviewed; poor performers are suspended or blacklisted with a recorded reason.
 - **Speed.** Approvals happen from a phone, suppliers quote online, stores decisions are immediate, and status is visible without phone calls.
 - **Scalability.** Multi-site, multi-currency, role-based, and built on a shared typed model. Adding a department, site or supplier is configuration, not development. The same platform can serve additional companies or group entities.
 - **Ownership.** The company owns the code and its data. No per-seat licence.
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12. Anticipated questions

Is it live? Yes. Staff and suppliers can log in today. Automated tests pass; user acceptance testing guides are in place.

What happens if the internet is down on site? It is a web application; a phone connection is enough for approvals. Offline capture is not built.

Can it replace our accounting system? No. It runs procurement through to payment recording and keeps the spend record; the general ledger stays in the accounting system. A ledger export is a natural next integration.

How do we know suppliers cannot tamper with quotes? Quotes are written once and locked. A price change requires procurement to request a revision, the supplier to confirm a new version, and the old version is kept.

Who can approve a large order? Nobody alone. An order of USD 5,000 or more needs the requesting HOD, the Procurement HOD, Finance and the COO, in that order.

What is the biggest gap? Budget enforcement at the point of request. Budgets are tracked and visible, but a request is not yet blocked for lack of budget. That is the recommended next build.

Companion documents: SYSTEM_OVERVIEW.md (module walkthrough), PROCEDURE_COMPLIANCE.md (clause matrix), SMOKE_TEST_RESULTS.md (test evidence), DEVELOPMENT_HANDBOOK.md (build history), CLIENT_TESTING_GUIDE.md (UAT).